

Marico Japan

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Marico

❖ Brief description of Marico Limited's operations and structure:

Marico Limited is a prominent Indian multinational consumer goods company specialising in beauty and wellness products. As a young, growing consultant, here's a brief overview of Marico:

- **Industry Position:** Marico is a leader in the FMCG (Fast-Moving Consumer Goods) sector, known for its strong portfolio of brands, including Parachute (hair oil), Saffola (edible oil), and Livon (hair care).
- **Product Portfolio:**
 - **Hair Care:** Products like Parachute coconut oil, Hair & Care, and Livon serum.
 - **Edible Oils:** Saffola, known for its range of heart-healthy edible oils.
 - **Foods:** Saffola Oats, Saffola Honey, and other health foods.
 - **Personal Care:** Products under brands like Set Wet (deodorants and hair gels) and Kaya (skin care).
 - **Male Grooming:** Brands like Beardo, focusing on beard oils, hair wax, and other grooming products.
- **Global Presence:**
 - **Asia:** Strong presence in India, Bangladesh, and the Middle East.
 - **Africa:** Operations in countries like South Africa and Egypt.
 - **Expanding Markets:** New ventures into Southeast Asia and other emerging markets.
- **Supply Chain and Distribution:**
 - **Manufacturing:** Marico has a network of manufacturing facilities across India and in key international markets.
 - **Distribution Network:** A robust and extensive distribution network that ensures product availability across urban and rural areas. This includes partnerships with wholesalers, modern trade, and e-commerce platforms.
 - **Logistics:** Focus on efficient logistics and supply chain management to reduce costs and improve delivery times.

➤ **Structure:**

- **Corporate Governance:**
 - **Board of Directors:** Comprising experienced professionals and industry experts providing strategic direction.
 - **Executive Leadership:** The CEO and a team of senior executives manage day-to-day operations and strategic initiatives.
- **Organisational Divisions:**
 - **Business Units:** Separate business units for different product categories (e.g., Hair Care, Foods, Personal Care).
 - **Regional Operations:** Geographic divisions handling specific regions like India, Middle East, Africa, and Southeast Asia.
 - **Functional Departments:** Key functions such as Marketing, Sales, Supply Chain, R&D, HR, Finance, and IT.

❖ **Brief description about what is our approach:**

As a consultant aiming to help Marico extend its operations into a new niche market like Japan, this is a structured approach to ensure successful market entry and growth. Here's a step-by-step guide:

1. Market Research and Analysis

- **Consumer Preferences:** Conduct thorough research to understand Japanese consumer behaviour, preferences, and trends, particularly in the beauty and wellness sectors.
- **Competitive Landscape:** Analyse existing competitors, their market share, product offerings, pricing strategies, and distribution channels.

2. Identify Target Segments

- **Product-Market Fit:** Identify which of Marico's products are likely to resonate with Japanese consumers. For instance, products with a focus on natural ingredients and health benefits might be appealing.
- **Niche Opportunities:** Look for underserved niches or emerging trends in Japan, such as organic skincare, wellness foods, or male grooming products.

3. Strategic Partnerships

- **Local Distributors:** Partner with established local distributors to leverage their knowledge of the market and distribution networks.
- **Retail Partnerships:** Collaborate with popular retail chains, both online and offline, to ensure product availability and visibility.
- **Influencer Collaborations:** Engage with local influencers and beauty bloggers to create buzz and credibility for Marico's products.

4. Customised Marketing Strategy

- **Brand Positioning:** Adapt Marico's brand messaging to align with Japanese cultural values and consumer expectations. Highlight product benefits that resonate with local preferences.
- **Digital Marketing:** Utilise digital platforms like social media, e-commerce websites, and local search engines to reach target consumers. Consider leveraging platforms like LINE, Instagram, and YouTube.
- **Promotional Campaigns:** Run targeted promotional campaigns, including discounts, trial offers, and loyalty programs to attract and retain customers.

5. Product Localization

- **Product Adaptation:** Modify products as necessary to meet local tastes and preferences. This could involve changes in formulation, packaging, or even product names.
- **Language and Labelling:** Ensure all product labels, marketing materials, and customer service options are available in Japanese.

6. Regulatory Compliance

- **Product Registration:** Complete necessary product registration and compliance procedures to meet Japanese regulations.
- **Quality Assurance:** Implement rigorous quality assurance processes to maintain product standards and build consumer trust.

7. Supply Chain and Logistics

- ~~**Efficient Logistics:** Establish a reliable and cost-effective logistics network for importing and distributing products within Japan.~~
- ~~**Local Warehousing:** Consider setting up local warehousing to ensure faster delivery times and better inventory management.~~

8. Continuous Monitoring and Adaptation

- **Market Feedback:** Regularly gather and analyse feedback from consumers, partners, and stakeholders to identify areas for improvement.
- **Performance Metrics:** Track key performance indicators (KPIs) such as sales growth, market share, customer satisfaction, and return on investment (ROI).
- **Adaptation and Innovation:** Be prepared to adapt strategies based on market response and continuously innovate to stay competitive.

❖ **Basic Implementation Plan:**

1.)Initial Market Entry:

- Conduct preliminary research and feasibility study.
- Develop a detailed market entry plan, including budget and timelines.
- Identify and establish partnerships with local distributors and retailers.

2.)Pilot Launch:

- Launch a limited range of products in select cities to test the market.
- Monitor performance and gather consumer feedback.

3.)Full-Scale Launch:

- Expand product range and distribution to cover major urban and suburban areas.
- Implement full-scale marketing and promotional campaigns.

4.)Growth and Expansion:

- Explore opportunities for expanding into other related product categories.
- Continue to build brand presence and loyalty through consistent quality and customer engagement.

❖ OUR Research and Strategy Now

I. Sector Analysis:

- A. Health and Wellness Foods:** As highlighted earlier, the health and wellness foods market is growing rapidly in Japan. With an estimated market size of JPY 2.9 trillion (USD 26.5 billion) in 2023, and a CAGR of 5% expected from 2023 to 2028, this sector offers significant growth potential.
- B. Functional Foods:** This sub-sector is particularly promising, with a market size of JPY 1.3 trillion (USD 12 billion) in 2023. Functional foods that offer specific health benefits are highly sought after by Japanese consumers.

Marico should focus on health and wellness foods, especially functional foods. By doing this, they can use their current products and make them fit what local consumers like. The growth in this area, along with good partnerships and marketing, will help Marico do well in Japan and not get beaten by competitors.

II. Product Selection:

- A. Saffola Healthy Foods:** Given the increasing focus on health and wellness among Japanese consumers, Saffola's range of health foods, including oats, honey, and dietary supplements, aligns well with local preferences.

III. Customer Segmentation Criteria:

A. Geographic Segmentation:

- **Tokyo:** The largest metropolitan area with a population of approximately 14 million people(2021). Tokyo is the economic and cultural hub of Japan, making it an ideal starting point.
- **Osaka:** With a population of about 2.7 million(), Osaka is a major commercial centre with a strong focus on trade and industry.
- **Nagoya:** A key industrial and technological hub with a population of approximately 2.3 million.

B. Demographic Segmentation:

- **Age Group:** Target consumers aged 25-45 years(30%). This demographic is health-conscious, has disposable income, and is open to trying new health and wellness products.
- **Income Level:** Middle to upper-middle class(70%), as they have the purchasing power to spend on premium health products.

C. Physiological segmentation:

1. **Lifestyle:** Urban professionals(91.4%) and young families who prioritise health and wellness in their daily lives.

D. SOM (Serviceable Obtainable Market):

1. **TAM:**USD 12 billion
2. **SAM:** Total targeted population: 19 million(14+2.3+2.7)
3. **SOM:** $19 \times 30\% \times 70\% \times 91.4\% = 3.64$ million

IV. Strategic Entry Plan:

A. Market Research and Feasibility Study:

1. **Consumer Preferences and Trends:** According to a 2023 survey by Rakuten Insight, 60% of Japanese consumers prioritise health benefits when choosing food products, with a growing interest in functional foods and superfoods.
2. **Competitive Landscape:** Major competitors include **Meiji Holdings, Yakult Honsha, and Suntory**, which dominate the functional foods market. Understanding their product offerings, pricing, and distribution strategies is crucial.
3. **Regulatory Compliance:** The cost of regulatory compliance for food products in Japan is estimated to be around ~~USD 50,000~~(not sure). This includes product registration, labelling requirements, and quality assurance standards as per Japan's Food Sanitation Act.

B. Product Development and Localization:

1. **Product Adaptation:** Invest in R&D to adapt products to include ingredients popular in Japan, such as matcha and yuzu.
2. **Packaging and Labelling:** Ensure packaging is in Japanese and meets local standards. Allocate for packaging redesign.

C. Strategic Partnerships:

1. **Local Distributors:** Partner with established distributors like Paltac Corporation, which has a strong distribution network across Japan.
2. **Retail and E-commerce:** Secure shelf space in major retail chains like AEON and Ito-Yokado. Utilise online platforms such as Rakuten and Amazon Japan for wider reach.

D. Customised Marketing Strategy:

1. **Brand Positioning:** Position Saffola as a premium, health-focused brand. Highlight benefits such as heart health and natural ingredients.

2. **Digital Marketing:** Utilise platforms like LINE, Instagram, and YouTube. LINE, with over 84 million users in Japan, is a crucial channel for digital marketing.
3. **Influencer Collaborations:** Engage with health and wellness influencers to build brand credibility. Allocate some amount for influencer marketing campaigns.

V. Implementation Timeline:

A. Initial Market Entry (Months 1-6):

1. **Market Research:** Allocate some amount for detailed market research.
2. **Regulatory Compliance:** Ensure all products meet Japanese standards.
3. **Partnership Development:** Secure partnerships with distributors and retailers.

B. Pilot Launch (Months 7-12):

1. **Product Launch:** Introduce a limited range of products in Tokyo, Osaka, and Nagoya.
2. **Marketing Campaign:** Allocate some amount for initial marketing efforts, including digital ads and influencer partnerships.
3. **Feedback and Adjustment:** Collect consumer feedback and adjust strategies accordingly. Allocate some amount for this phase.

C. Full-Scale Launch (Year 2):

1. **Product Range Expansion:** Increase the product range based on initial feedback.
2. **Comprehensive Marketing:** Run extensive marketing campaigns. Budget: Will provide.
3. **Brand Building:** Continue investing in brand-building activities. Annual budget: Will provide.

VI. Gaining Customer Trust:

1. **Quality Assurance:** Implement strict quality control measures to meet Japanese standards. Ensure all products are safe, reliable, and of high quality.

2. **Transparency:** Provide detailed information on product benefits, ingredients, and sourcing. Japanese consumers value transparency and authenticity.
3. **Customer Engagement:** Engage with customers through social media, events, and health seminars. Build a community around the brand.
4. **Endorsements:** Collaborate with local health experts and nutritionists to endorse Saffola products. This can significantly enhance credibility.

❖ Strategy-4Ps

- 1.) **Product:** Functional Foods
- 2.) **Price:** Decided after the on ground implementation (1-6 months)
- 3.) **Place:** Tokyo, Osaka, nagoya (Initial 1 year pilot Launch)
- 4.) **Promotion:** Brand Positioning, Digital Marketing, Influencer Collaborations.